

Varnholt Acquisition LLC

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August 31, 2026

Varnholt Climate Services LLC
Attention: Managing Member
14 Velnoric Way
Tazmervale, ZZ 00000

Letter of Intent

Non-binding proposal to acquire the business of Varnholt Climate Services LLC

Dear Managing Member:

Varnholt Acquisition LLC (“Buyer”) is pleased to submit this letter of intent to acquire the business of Varnholt Climate Services LLC (“Seller”) on the principal terms below.

- 1. Transaction.** Buyer will acquire substantially all of the operating assets of Seller, including equipment, inventory, customer relationships, trade names and goodwill, free of liens, in a transaction structured as an asset purchase.
- 2. Purchase Price.** The total purchase price will be \$2,425,000, payable at closing in cash from Buyer’s equity injection and the proceeds of an SBA 7(a) loan, and by a promissory note from Buyer to Seller in the principal amount of \$240,000 (the “Seller Note”). The Seller Note will be repaid on the following terms: 24-month standby, then monthly payments.
- 3. Financing.** Buyer’s obligations are conditioned on approval of an SBA 7(a) loan from Zelmivar Bank on terms acceptable to Buyer.
- 4. Due Diligence.** Seller will give Buyer and its advisers reasonable access to Seller’s books, records, contracts, facilities and personnel for 45 days after acceptance of this letter.
- 5. Exclusivity.** For 60 days after acceptance, Seller will not solicit, encourage or negotiate any other proposal for the sale of the business or its assets.
- 6. Confidentiality.** The parties’ existing confidentiality agreement continues to govern all information exchanged in connection with this proposal.
- 7. Non-binding Effect.** Except for Sections 5 and 6, which are binding, this letter is an expression of intent only and creates no obligation until a definitive purchase agreement is signed.
- 8. Expiration.** This letter will expire if not accepted in writing by September 1, 2026.

Sincerely,

BUYER: VARNHOLT ACQUISITION LLC

/s/ e-signed

By: Managing Member

Agreed and accepted by Buyer and Seller as of the date first written above.

AGREED AND ACCEPTED:

SELLER: VARNHOLT CLIMATE SERVICES LLC

/s/ e-signed

By: Managing Member

ASSET PURCHASE AGREEMENT

Dated as of August 31, 2026

This ASSET PURCHASE AGREEMENT (this “Agreement”) is entered into as of August 31, 2026 by and between Varnholt Acquisition LLC (“Buyer”) and Varn Holt Climate Services L.L.C. (“Seller”).

WHEREAS, Seller owns and operates the business conducted under its name (the “Business”); and WHEREAS, Seller wishes to sell, and Buyer wishes to purchase, substantially all of the assets used in the Business on the terms and subject to the conditions of this Agreement. NOW, THEREFORE, the parties agree as follows:

ARTICLE I — PURCHASE AND SALE

1.1 Purchase and Sale. On the terms of this Agreement, at the Closing, Seller shall sell, assign and transfer to Buyer substantially all of the assets used in the Business (an asset purchase), including equipment, inventory, accounts receivable, customer lists, contracts listed on Schedule 1.1, trade names and goodwill (the “Purchased Assets”).

1.2 Excluded Assets. Cash, bank accounts, tax refunds, insurance policies, corporate records and the assets listed on Schedule 1.2 are excluded and remain the property of Seller.

1.3 Assumed Liabilities. Buyer assumes only obligations arising after the Closing under the contracts assigned to it. All other liabilities of Seller remain with Seller.

ARTICLE II — PURCHASE PRICE

2.1 Purchase Price. The aggregate purchase price is \$2,400,000 (the “Purchase Price”).

2.2 Payment. The Purchase Price shall be paid (a) in cash at the Closing by wire transfer of immediately available funds and (b) by delivery of the Seller Note in the original principal amount of \$240,000 (the “Seller Note”), subordinated to the SBA lender. The Seller Note shall be repaid on the following terms: 24-month standby, then monthly payments.

2.3 Working Capital. Inventory shall be counted jointly on the day before Closing and valued at the lower of cost or net realizable value.

2.4 Allocation. The Purchase Price shall be allocated among the Purchased Assets as set forth on Schedule 2.4, prepared in accordance with Section 1060 of the Internal Revenue Code and IRS Form 8594.

ARTICLE III — REPRESENTATIONS OF SELLER

3.1 Organization; Identity. Seller’s principal place of business is 14 Velnoric Way, Tazmervale, ZZ 00000. Seller’s federal employer identification number is 00-1234567. Seller is duly organized, validly existing and in good standing, and has full authority to enter into this Agreement.

ARTICLE IX — TERMINATION

9.1 Termination. This Agreement may be terminated (a) by mutual written consent, or (b) by either party if the Closing has not occurred on or before November 30, 2026 (the “Outside Date”), provided the terminating party is not then in breach.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

BUYER: VARNHOLT ACQUISITION LLC

SELLER: Varnholt Climate Services LLC

/s/ e-signed

/s/ e-signed

By: Managing Member

By: Managing Member